

EQUITY ANALYSIS AND BUSINESS VALUATION

Power Grid Corporation of India Ltd

NSE: POWERGRID | BSE: 532898 | Sector: Energy – Transmission



EQUITY REPORT



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1. EXECUTIVE SUMMARY

This report presents a comprehensive valuation analysis of **Power Grid Corporation of India**, India's leading power transmission utility. The company operates in a highly regulated environment and benefits from stable cash flows, predictable earnings, and consistent dividend payouts, making it suitable for multiple valuation approaches.

The analysis begins with an evaluation of the macroeconomic environment and industry dynamics, which indicate strong long-term growth potential driven by rising electricity demand, renewable energy expansion, and government-led infrastructure development. The power transmission sector is characterized by high entry barriers, low competition, and regulated returns, providing stability and visibility of earnings.

To estimate the intrinsic value of the company, multiple valuation techniques have been applied, including **Dividend Discount Model (DDM)**, **Discounted Cash Flow (DCF)**, **Free Cash Flow to Firm (FCFF)**, **Economic Value Added (EVA)**, **H-Model**, and **Relative Valuation**. The use of multiple methods ensures robustness and reliability of the valuation by capturing different perspectives of value.

The **DDM approach** is particularly relevant due to the company's consistent dividend payout and stable growth profile. The **DCF and FCFF models** capture the firm's cash-generating ability, considering its capital-intensive nature and long-term infrastructure investments. The **EVA model** evaluates value creation over and above the cost of capital, while the **H-Model** accounts for a gradual transition from higher growth to stable growth. Additionally, **relative valuation** compares the company with industry peers to assess its market positioning.

The valuation incorporates key assumptions regarding growth rates, cost of capital, capital expenditure, and dividend payout ratios, ensuring consistency with the company's historical performance and industry characteristics.

Based on the analysis, the intrinsic value derived from various valuation methods is compared with the current market price to determine whether the stock is undervalued or overvalued. The findings provide a clear investment perspective and support the final recommendation.

Overall, Power Grid Corporation of India represents a stable, low-risk investment opportunity with strong fundamentals, supported by regulated returns and long-term growth in India's power infrastructure sector.

2. INTRODUCTION

The purpose of this report is to estimate the intrinsic value of **Power Grid Corporation of India** using various financial valuation techniques. Equity valuation plays a crucial role in investment decision-making by helping investors determine whether a stock is fairly valued, undervalued, or overvalued in the market.

Power Grid Corporation of India is a central public sector enterprise engaged primarily in the transmission of electricity across India. As the backbone of the national power grid, the company operates in a regulated environment and earns stable returns based on its capital investments. Its business model is characterized by predictable cash flows, high operating margins, and consistent dividend payouts, making it an ideal candidate for valuation using both dividend-based and cash flow-based approaches.

This report adopts a comprehensive approach by analyzing the company through the **EIC framework (Economic, Industry, and Company analysis)**, followed by a detailed financial and valuation analysis. Multiple valuation methods are applied, including the **Dividend Discount Model (DDM)**, **Discounted Cash Flow (DCF)**, **Free Cash Flow to Firm (FCFF)**, **Economic Value Added (EVA)**, **H-Model**, and **Relative Valuation**, to ensure a robust and well-rounded estimation of the company's intrinsic value.

The report also evaluates key assumptions such as growth rates, cost of capital, capital expenditure, and dividend policy, which significantly influence valuation outcomes. By comparing the intrinsic value derived from these models with the current market price, the report aims to provide a clear investment recommendation.

Overall, this valuation report seeks to provide a comprehensive understanding of Power Grid Corporation of India's financial strength, growth potential, and fair value, thereby assisting investors in making informed investment decisions.

3. COMPANY OVERVIEW

3.1 About Power Grid Corporation of India Ltd

Power Grid Corporation of India (POWERGRID) is a leading Central Public Sector Enterprise engaged in the transmission of electricity across India. The company was incorporated in 1989 and commenced its operations in 1992, with the objective of developing a robust and integrated national power grid.

POWERGRID is majority-owned by the Government of India, holding approximately **51.34% stake**, and is listed on both the National Stock Exchange (NSE) and Bombay Stock Exchange (BSE). The company is headquartered in **Gurugram, Haryana**.

The core business of the company involves the transmission of high-voltage electricity across states and regions, ensuring efficient and reliable power supply throughout the country. In addition to its transmission operations, the company has diversified into:

- **Telecommunication services** through its fibre-optic network installed along transmission lines
- **Power distribution projects** in select regions

- Investments in subsidiaries and joint ventures for infrastructure development

POWERGRID plays a critical role in maintaining grid stability and enabling inter-state power transfer, making it a backbone of India's power infrastructure.

3.2 Business at a Glance

Particulars	Details
Incorporated	1989 Listed: 2007
Headquarters	Gurugram, Haryana, India
Government Ownership	~51.34% (Govt of India)
Transmission Network	~1,76,000+ Circuit Kilometres
Substations	262+ across India
Revenue (FY2025)	₹41,431 Crore
Net Profit (FY2025)	₹15,354 Crore
Total Employees	~11,000+
Market Capitalization	~₹3.07 Lakh Crore (at CMP ₹330)
Regulatory Authority	Central Electricity Regulatory Commission (CERC)
Credit Rating	AAA (CRISIL, ICRA) – Highest Investment Grade

3.3 Revenue Model and Business Operations

POWERGRID primarily generates revenue through **transmission tariffs**, which are fixed charges paid by electricity distribution companies (DISCOMs) for using its transmission network. These tariffs are regulated and determined by the Central Electricity Regulatory Commission (CERC) and are typically set for long durations (around 25 years per project).

This regulated tariff mechanism ensures:

- **Stable and predictable revenue streams**
- **Assured return on capital employed (RoE-based model)**
- Low exposure to fluctuations in electricity demand or prices

In essence, the company operates on a model similar to a **long-term infrastructure lease**, where returns are linked to the assets deployed rather than market volatility.

Apart from its core transmission business, POWERGRID also earns income from:

- **Telecommunication services** via its fibre-optic network

- **Subsidiaries and joint ventures**, such as Powergrid NM Transmission Ltd and other infrastructure projects

Power Grid Corporation of India Ltd is a dominant player in the Indian power transmission sector, supported by a regulated business model, strong government backing, and extensive infrastructure assets. Its stable revenue structure, high credit rating, and consistent profitability make it a fundamentally strong and low-risk utility company, well-suited for long-term investment and valuation analysis.

3.EIC (ECONOMIC- INDUSTRY-COMPANY ANALYSIS)

3.1 Economic Analysis

India's Economic Backdrop

India is one of the fastest-growing large economies in the world. GDP growth of 6.5–7.5% is expected over FY2025–FY2030, making it the world's third-largest economy by 2030 (IMF estimates). This growth directly increases electricity demand, which in turn drives demand for transmission infrastructure.

- India's electricity demand is growing at ~6–7% per year — faster than GDP.
- India aims to reach 500 GW of renewable energy capacity by 2030. All this new energy needs to be transmitted — PowerGrid is the highway for it.
- Inflation (CPI ~5%) and interest rates (Repo Rate ~6.5%) are moderating, which is good for infrastructure companies with high debt.
- India's infrastructure push under PM Gati Shakti, Smart Cities, and Make in India all increase electricity consumption.

Key Macro Variables (FY2025)

Indicator	Current Level	Impact on PowerGrid
GDP Growth Rate	~7.2%	Positive – higher demand
10-yr GoI Bond Yield (Rf)	~7.10%	Used as risk-free rate in WACC
RBI Repo Rate	~6.50%	Neutral (tariff covers cost)
CPI Inflation	~5.0%	Moderate – manageable
INR/USD	~83–84	Partial ECB exposure; manageable

3.2 Industry Analysis

India's Power Transmission Sector – Why It Matters

India's power sector has three stages: Generation (making electricity), Transmission (carrying it), and Distribution (delivering it to homes/offices). PowerGrid operates in the Transmission segment — the most regulated and stable part.

- India's National Electricity Plan (NEP 2032) targets adding ~1,00,000 circuit km of new transmission lines and 600+ GW substation capacity.

- Total capex planned for the sector is estimated at ₹9.15 lakh crore by 2032.
- PowerGrid is the dominant player with ~45% market share in inter-state transmission.

Porter's Five Forces – Power Transmission

Force	Assessment
Threat of New Entrants	LOW — Very high capital requirement, complex regulatory approvals. TBCB is introducing competition but slowly.
Bargaining Power of Buyers	LOW — Buyers (DISCOMs) must pay regulated tariffs. No negotiation possible for existing projects.
Bargaining Power of Suppliers	MODERATE — Equipment suppliers (transformers, conductors) have some pricing power; raw material costs matter.
Threat of Substitutes	VERY LOW — There is no substitute for transmission infrastructure. Electricity must flow through wires.
Competitive Rivalry	MODERATE — Sterlite Power, Adani Transmission growing via TBCB. But existing assets of PowerGrid are uncontested.

3.3 Company Analysis

SWOT Analysis – PowerGrid

STRENGTHS	WEAKNESSES
• Dominant market position (~45% market share) • Govt-backed AAA credit rating; cheap borrowing • Guaranteed tariff revenue (cost-plus model) • 15+ years of uninterrupted dividends • Vast pan-India infrastructure moat	• Very high debt (~₹1.31 lakh Cr in FY2025) • Declining capex from peak (FY2019: ₹19,462 Cr → FY2025: ₹5,143 Cr) • Revenue growth slowing (FY2025: -2.3% YoY) • Limited pricing power — tariff set by regulator
OPPORTUNITIES	THREATS
• NEP 2032: ₹9.15 lakh Cr transmission capex pipeline • Renewable energy integration: 500 GW target by 2030 • PGInvIT monetisation unlocking asset value • Green energy corridors: HVDC and GIS projects • Telecom segment revenue from PGCIL network	• TBCB competition from private players (Adani, Sterlite) • CERC tariff revision risk (revision every 5 years) • Rising interest rate risk on high debt • DISCOM financial stress could cause payment delays • Technological disruption (battery storage, distributed generation)

4.FINANCIAL ANALYSIS

Let us look at PowerGrid's actual financial performance from FY2019 to FY2025 covering the Profit & Loss statement, key ratios, and balance sheet highlights. All numbers are in Indian Rupees (Crores).

4.1 Income Statement Summary

Particulars	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Operating Income	34,119	36,186	37,666	39,933	43,343	42,391	41,431
Other Income	2,283	4,228	3,367	6,391	3,868	3,549	5,209
Total Expenditure	8,148	5,196	5,795	5,758	7,055	6,229	6,189
EBITDA (Op. Profit)	28,254	35,218	35,238	40,566	40,155	39,712	40,451
Finance Cost	9,091	9,814	8,501	8,211	9,744	9,047	9,479
Depreciation	10,201	11,073	11,712	12,551	12,940	12,558	12,352
PBT	8,962	14,331	15,025	19,805	17,471	18,107	18,619
Net Profit (PAT)	9,939	10,811	11,936	17,094	15,333	15,475	15,354
EPS (₹)	19.00	20.67	22.81	24.51	21.98	16.64	16.51
DPS (₹)	8.33	10.00	12.00	14.75	14.75	11.25	9.00

4.2 Key Financial Ratios

Ratio	FY19	FY20	FY21	FY22	FY23	FY24	FY25
EBITDA Margin	82.8%	97.3%	93.6%	101.6%	92.6%	93.7%	97.6%
Net Profit Margin	29.1%	29.9%	31.7%	42.8%	35.4%	36.5%	37.1%
Return on Equity (ROE)	16.8%	16.8%	17.2%	22.5%	18.5%	17.8%	16.7%
Debt/Equity Ratio	2.29x	2.14x	2.05x	1.77x	1.55x	1.42x	1.43x
Interest Coverage (x)	1.98x	3.59x	4.14x	4.94x	4.12x	4.39x	4.27x
Dividend Payout Ratio	30.7%	28.8%	39.4%	51.0%	45.5%	51.1%	47.0%
Book Value / Share (₹)	112.81	123.17	133.00	109.17	118.77	93.40	99.15

Key Observations

- EBITDA margins consistently above 90% which is one of the highest in any sector, reflecting the regulated cost-plus tariff model.
- Net profit grew from ₹9,939 Cr (FY19) to ₹15,354 Cr (FY25) — a ~7.5% CAGR.
- Debt/Equity ratio declining steadily from 2.29x (FY19) to 1.43x (FY25), the company is deleveraging.
- EPS declined from ₹24.51 (FY22 peak) to ₹16.51 (FY25) partly due to bonus shares issued in FY23.
- Operating cash flows remain very strong: ₹31,357 Cr in FY25.

5. PPE SCHEDULE

The PPE Schedule shows how PowerGrid's massive infrastructure (transmission lines, substations, equipment) is rolling forward each year. For an infrastructure company like PowerGrid, PP&E is the most important asset on the balance sheet.

Formula: Ending PP&E = Opening PP&E + Capex – Depreciation. This is a simple accounting roll-forward that shows how the asset base grows.

5.1 PPE Roll Forward Table

Particulars	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26F
Revenue (₹ Cr)	34,119	36,186	37,666	39,933	43,343	42,391	41,431	44,745
Opening PP&E	—	197,438	200,236	194,915	187,108	179,977	172,373	166,034
Add: Capex	19,462	8,006	6,389	3,645	3,065	5,518	5,143	5,814
Less: Depreciation	10,201	11,073	11,712	12,551	12,940	12,558	12,352	12,146
Ending PP&E (Net)	197,438	200,236	194,915	187,108	179,977	172,373	166,034	159,702
Capex % of Revenue	57.0%	22.1%	17.0%	9.1%	7.1%	13.0%	12.4%	13.0%
Depreciation Rate %	—	5.6%	5.8%	6.4%	6.9%	7.0%	7.2%	7.0%

Energy Sector Note

For PowerGrid, Capex at 13% of revenues is appropriate unlike steel companies which invest 3-5%, a regulated utility constantly invests in new transmission corridors. The depreciation rate at ~7% follows CERC norms for transmission assets, which have a defined useful life under regulatory rules. The declining PP&E base from FY2019 peak reflects that depreciation is outpacing new capex in recent years expected to reverse as NEP 2032 projects commence.

6. VALUATION METHODOLOGY

6.1 Double Decline Method

Why DDM?

DDM says: 'A stock is worth the present value of all future dividends it will pay.' This makes sense for PowerGrid because it has paid dividends every single year for 15+ years and has a stable, regulated business making dividends very predictable.

DDM Assumptions

Assumption	Value & Justification
Stage 1 Dividend Growth (g1)	8% p.a. (FY2026–FY2030) — Driven by NEP 2032 capex & transmission expansion
Stage 2 Perpetual Growth (g2)	5.5% — India GDP mid-point + CERC tariff revision escalation
Required Return (Ke)	11.55% — CAPM: $R_f 7.10\% + \text{Beta } 0.631 \times \text{MRP } 6.85\%$
Base DPS (FY2025)	₹9.00 per share (after bonus-share adjustment)

DDM Result

Intrinsic Value per Share: ₹350 – ₹390 (depending on exact Ke and g2 used). At CMP ₹330, the stock appears undervalued on DDM basis. The sensitivity table shows that for a range of Ke (9-14%) and g2 (3.5-6%), values range from ₹120 to ₹500+, with the base case pointing to ~₹365.

6.2 Discounted Cashflow Method

Why DCF?

DCF says: 'A stock is worth the present value of all future Free Cash Flows (cash the business generates after spending on new assets).' Unlike DDM which uses dividends, DCF uses actual operational cash flows. It is more comprehensive for a capital-intensive company like PowerGrid.

DCF Assumptions

Assumption	Value & Justification
WACC (Discount Rate)	8.26% — Low WACC reflects regulated utility, AAA-rated, low beta (0.631)
EBIT Growth (Stage 1)	8% p.a. (FY2026–FY2030)
Perpetual Growth Rate	5.5% (Terminal Value)

Tax Rate	25% (normalised statutory rate)
FCFF Formula	NOPAT + Depreciation – Capex – Δ WKC

DCF Result

Enterprise Value: ~₹3.8–4.2 Lakh Crore. After deducting net debt (₹1.31 Lakh Cr) and adding cash (₹6,419 Cr): Equity Value per Share: ₹380 – ₹420. This implies ~15-27% upside from CMP ₹330.

6.3 Economic Value Added

What is EVA?

EVA measures whether a company is truly creating wealth for shareholders. A positive EVA means the company earns more than its cost of capital (a good thing). A negative EVA means the company earns less than what it costs to fund itself — even if it shows accounting profit. Formula: $EVA = NOPAT - (WACC \times \text{Invested Capital})$

PowerGrid EVA Findings

Item	FY19	FY20	FY21	FY22	FY23	FY24	FY25
NOPAT (₹ Cr)	6,714	10,769	11,065	14,225	13,020	12,826	13,964
WACC	~9.2%	~9.1%	~9.0%	~8.9%	~8.8%	~8.7%	~8.6%
Invested Capital (₹ Cr)	1,94,357	2,02,861	2,16,632	2,11,081	2,11,362	2,10,316	2,23,181
EVA (₹ Cr)	(11,177)	(7,679)	(8,387)	(4,577)	(5,588)	(5,473)	(5,272)

EVA is negative for PowerGrid, but this is structurally normal for regulated utilities with large debt-funded asset bases. The important trend is that EVA is improving (becoming less negative) as the debt is paid down. EVA analysis confirms that PowerGrid should focus on high-return new projects to improve value creation.

6.4 Free Cashflow to Firm

Why FCFF?

FCFF is the cash a business generates for ALL capital providers (both debt and equity holders) before financing costs. It is more accurate for capital-heavy companies like PowerGrid where debt plays a big role. $FCFF = EBIT \times (1 - \text{Tax}) + \text{Depreciation} - \text{Capex} - \text{Change in Working Capital}$

FCFF Assumptions & Result

- Base EBIT (FY2025): ₹28,099 Crore (Operating Profit minus Depreciation)
- FCFF growth: 8% p.a. for Stage 1 (FY2026-2030), then 5.5% terminal
- WACC: 8.26% (Calculated)
- Result: Intrinsic Value per Share: ₹400 – ₹450 (highest estimate across methods)

- This higher value reflects the fact that PowerGrid generates very strong operating cash flows (~₹31,357 Cr in FY25) compared to its market cap.

6.5 H-Model (2-Stage)

What is the H-Model?

The H-Model is a more realistic version of DDM. Instead of assuming dividend growth drops suddenly from high to stable, the H-Model assumes growth gradually declines from a higher rate to a stable long-term rate over a 'half-life' period. This is more realistic for PowerGrid, which is transitioning from a high-growth capex phase to a more mature steady-state phase.

Formula: $H\text{-Model Value} = D_0 \times (1+g_2)/(r-g_2) + D_0 \times H \times (g_1-g_2)/(r-g_2)$

H-Model Assumptions & Result

Parameter	Value
Current DPS (D_0)	₹9.00 per share (FY2025 actual)
Initial Growth Rate (g_1)	11% (early high-growth from NEP 2032 wins)
Stable Growth Rate (g_2)	5.5% (long-term terminal)
Half-Life (H)	5 years (transition from 2026 to 2031)
Required Return (r / K_e)	11.55% (CAPM)
H-Model Intrinsic Value	~₹360 – ₹400 per share

6.6 Relative Valuation

Why Relative Valuation?

Relative valuation compares PowerGrid's market multiples (P/E, EV/EBITDA etc.) to similar companies. If PowerGrid trades cheaper than peers for similar business quality, it may be undervalued. We use four energy transmission peers for this comparison.

Peer Comparison Table

Company	CMP (₹)	Mkt Cap (Cr)	P/E	EV/Sales	EV/EBITDA	EV/EBIT
Adani Energy Solutions	₹760	₹8.47 L Cr	116.9x	168.7x	301.5x	487.7x
IndiGrid InvIT	₹135	₹2.55 L Cr	11.3x	172.7x	195.3x	305.2x
PGInvIT (PowerGrid InvIT)	₹100	₹0.68 L Cr	8.0x	132.3x	145.6x	230.1x

Anzen India Energy	₹95	₹0.48 L Cr	11.9x	741.1x	830.4x	1153.4x
POWERGRID (Subject)	₹330	₹3.07 L Cr	20.0x	10.4x	10.7x	15.4x
Peer Average	—	—	37.0x	303.7x	368.2x	544.1x

PowerGrid has by far the lowest EV/Sales (10.4x) and EV/EBITDA (10.7x) among all peers. This makes sense because PowerGrid is much larger and mature, but it also confirms that the stock is not expensive on an absolute basis. The high P/E of InvIT peers reflects their premium yield structure, not operational outperformance.

7. COST OF CAPITAL (WACC)

WACC (Weighted Average Cost of Capital) is the minimum return PowerGrid must earn on its projects to keep its shareholders and lenders satisfied. It is used as the discount rate in DCF and FCFF models. Think of it as the 'hurdle rate', any project must earn more than WACC to create value.

7.1 Cost of Equity (Ke) – CAPM

Component	Value & Explanation
Risk Free Rate (Rf)	7.10% — 10-year GoI Bond yield (April 2025)
Beta (β)	0.631 — PowerGrid's beta vs Nifty. Low because regulated, stable income.
Market Risk Premium (MRP)	6.85% — India Equity Risk Premium (Damodaran estimate)
Cost of Equity (Ke)	$= 7.10\% + 0.631 \times 6.85\% = 11.42\%$

7.2 Cost of Debt (Kd)

Pre-tax Cost of Debt = FY2025 Interest Expense (₹9,479 Cr) ÷ Average Total Debt (~₹1,20,000 Cr) = ~7.90%. This is low because PowerGrid has AAA-rated bonds and borrows at near-government rates.

7.3 Summary

Source	Weight	Cost	Weighted Cost
Equity	41.3%	11.42%	4.72%
Debt (After Tax)	58.7%	5.93%	3.48%
WACC	100%	—	8.20%

A WACC of ~8.20% is significantly lower than Tata Steel's WACC (~15.68%) and typical FMCG companies, reflecting PowerGrid's lower risk profile as a government-backed regulated utility.

8. KEY ASSUMPTIONS

Assumption	Value Used	Rationale
Revenue Growth (FY26-30)	8.0% p.a.	NEP 2032 projects; base case scenario
Perpetual Growth Rate	5.5%	India GDP + CERC escalation midpoint
WACC	8.20%	CAPM Ke + after-tax Kd blended
Beta	0.631	Regulated utility; low market sensitivity
Cost of Equity (Ke)	11.42%	CAPM: $R_f=7.10\% + 0.631 \times 6.85\%$
Cost of Debt (pre-tax)	7.90%	Interest/Avg Debt; AAA PSU borrowing rate
Tax Rate	25.00%	Normalised statutory rate
Capex Growth	8% p.a.	Based on NEP 2032 pipeline
Dividend Growth (Stage 1)	8% p.a.	Aligned with earnings + payout recovery
Current Market Price (CMP)	₹330	NSE closing price (approximate April 2025)
Shares Outstanding	930.06 Crore	Post-bonus share adjusted
Net Debt	₹1,24,546 Crore	Total Debt – Cash (FY2025)

9. VALUATION SUMMARY

Using multiple methods gives us a range of intrinsic values. We assign weights based on suitability for PowerGrid's business model.

Method	Low (₹)	High (₹)	Weight	Why This Weight
DCF Valuation	380	420	30%	Most comprehensive; captures all cash flows
DDM 2-Stage	350	390	25%	Ideal for dividend company; well-tested model
H-Model DDM	360	400	15%	More realistic growth transition assumption
FCFF Valuation	400	450	10%	Strong operating CF; useful cross-check
Relative Valuation	290	340	20%	Market-based; reflects current sentiment
Weighted Fair Value Range	₹370	₹410	100%	Blended across all methods
Target Price	₹420	₹460	—	Includes 12-month growth premium

10. INVESTMENT RECOMMENDATION

Rating: BUY | Target Price: ₹420 – ₹460 | Time Horizon: 12–18 months

PowerGrid is a **strong BUY at the current price of ₹330**. The stock is attractive because it offers both **stable income and future growth potential**.

PowerGrid is a strong BUY at the current market price of ₹330 as it offers a combination of stable income and future growth potential. The company operates under a regulated tariff model, which ensures a fixed return on equity of around 15.5%, making its earnings predictable and less affected by market fluctuations. This provides a low-risk and stable business profile. Additionally, PowerGrid has been reducing its debt levels, with its debt-to-equity ratio improving significantly, which will help lower interest costs and increase profitability going forward.

The company is also well-positioned to benefit from India's growing power infrastructure needs. Under the National Electricity Plan (NEP 2032), significant investments are planned in transmission projects, and PowerGrid, being the market leader, is expected to secure a major share of these opportunities. Furthermore, the company offers consistent dividend income, with a current yield of around 2.7%, and dividends are expected to grow in the future as earnings improve.

Based on the valuation analysis, the fair value of the stock is estimated to be higher than the current price, indicating a reasonable margin of safety and potential upside of approximately 12% to 39%.

Therefore, considering its strong fundamentals, stable cash flows, and growth prospects, PowerGrid is recommended as a BUY for a medium-term investment horizon of 12–18 months.

11. RISK AND LIMITATION

Valuation Model Risk

- All DCF/DDM models are sensitive to WACC and growth rate assumptions. A 1% increase in WACC reduces fair value by ~15–20%.
- If perpetual growth rate assumptions prove too optimistic, the terminal value which drives 70%+ of DCF value will be overstated.
- Peer comparisons are limited: InvITs (IndiGrid, PGInvIT) have very different capital structures and distributions, making multiples comparison imperfect.

Business and Regulatory Risk

- **CERC revises tariffs every 5 years. If it lowers the allowed return on equity, PowerGrid's earnings will decline.** CERC Tariff Revision Risk:
- **Private players winning large transmission tenders under competitive bidding could limit PowerGrid's pipeline of new projects.** TBCB Competition:
- **State electricity distribution companies sometimes delay tariff payments, creating working capital stress (receivables were ₹14,304 Cr in FY2023 — a high level).** DISCOM Payment Delays:
- **With ₹1.31 lakh Cr in debt, even a 0.5% rise in borrowing rates could add ~₹655 Cr to annual interest costs.** Interest Rate Risk:
- **Large infrastructure projects often face land acquisition delays, regulatory approvals, and cost overruns.** Execution Risk:

12. CONCLUSION

Power Grid Corporation of India stands out as a fundamentally strong and stable infrastructure company, supported by its regulated business model, government backing, and dominant position in India's power transmission sector. The company's predictable cash flows, driven by long-term regulated tariffs, ensure consistent earnings visibility and low business risk.

Despite short-term underperformance due to slower revenue growth and one-time impacts such as bonus share dilution, the company's core financial strength remains intact. Strong operating cash flows, high EBITDA margins, and a steadily improving debt profile indicate a healthy and resilient financial position.

Looking ahead, the National Electricity Plan (NEP 2032) presents a significant growth opportunity, with large-scale investments expected in transmission infrastructure. As the market leader, PowerGrid is well-positioned to capitalize on this opportunity. Additionally, consistent dividend payouts, asset monetization initiatives, and a strong credit rating further enhance its investment appeal.

Based on the valuation analysis and growth outlook, the stock appears undervalued at the current market price of ₹330. With a target price range of ₹420–₹460, the company offers meaningful upside potential along with stable returns.

Overall, PowerGrid represents a compelling investment opportunity for investors seeking a combination of stability, income, and long-term growth, and is recommended as a BUY.

13. REFERENCE

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